bank, the bank creates a deposit of ₹ 1000 in his favor. Bank deposits (Bank Money) have increased by ₹1000. But, at this stage, there is no increase in the total supply of money with the public, because the above extra bank money of ₹1000 is offset by the cash of ₹1000 deposited in the bank.

The bank has now additional cash of ₹1000 in its custody. Since it is required to keep only a cash reserve of 20 per cent, this means that ₹ 800 is excess cash reserve with it. According to the above assumption, the bank should lend out this ₹ 800 to the public. Suppose, it does so, and the debtor deposits the money in his own account with another bank B, Bank is creating a deposit of ₹ 800. Bank B then has also excess cash reserve of ₹ 640(800-160). It could, in its turn, lend out ₹ 640. This ₹ 640 will, in its turn find its way with, say Bank C; it will create a deposit of ₹ 640and so on.

The total deposits will now grow into ₹ 1000+800+640+…….till ultimately the excess cash reserve peters out. It can be shown that when that stage is reached the total of the above will be ₹ 5000.

Money Multiplier = 1/20%
=1/20/100=1/20x100=5

Credit creation is 1000x5 = ₹ 5000.

6.3.3. Role of Commercial Banks in Economic Development of a Country

1. Capital Formation

Banks play an important role in capital formation, which is essential for the economic development of a country. They mobilize the small savings of the people scattered over a wide area through their network of branches all over the country and make it available for productive purposes.



Now-a-days, banks offer very attractive schemes to induce the people to save their money with them and bring the savings mobilized to the organized money market. If the banks do not perform this function, savings either remains idle or used in creating other assets,(eg.gold) which are low in scale of plan priorities.

2. Creation of Credit

Banks create credit for the purpose of providing more funds for development projects. Credit creation leads to increased production, employment, sales and prices and thereby they bring about faster economic development.

3. Channelizing the Funds towards Productive Investment

Banks invest the savings mobilized by them for productive purposes. Capital formation is not the only function of commercial banks. Pooled savings should be allocated to various sectors of the economy with a view to increase the productivity. Then only it can be said to have performed an important role in the economic development.

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